

Home bias and international risk sharing: Twin puzzles separated at birth - Notes

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Recap of exercise: Replicate Sorensen et al. (2007) "Home bias and international risk sharing: Twin puzzles separated at birth" and extend it. Sorensen et al. find that **reduction in OECD Home Bias since 1990s is associated with increase in risk sharing.**

1 Background/ some notes from the paper

Recall from Macro 3 slides the definition of risk sharing: "The ability of countries to **insulate consumption** from idiosyncratic output shocks by trading state-contingent claims or borrowing/lending internationally." (Slide 20) **How can countries smooth consumption?** (p.588)

$$GNI = GDP + r_d A_d - r_f A_f \quad (1)$$

$$\text{Consumption} = GNI - \text{Gross National Saving} \quad (2)$$

- Stabilize consumption through (1): increasing net foreign income from abroad (reduction in Home Bias)
- Stabilize consumption through (2): borrowing/ lending against idiosyncratic shocks (via savings)
- (1) may be small if borrowing/ lending via savings or if $(r_d A_d - r_f A_f)$ is small relative to GNI .

2 Replication Overview

Consider the main empirical strategy - using GNI and Equity Home Bias: Run:

$$\Delta \log GNI_{it} - \Delta \log GNI_t = \alpha_{K,t} + \kappa(\Delta \log GDP_{it} - \Delta \log GDP_t) + \varepsilon_{it} \quad (3)$$

$$\kappa = \kappa_0 + \kappa_1(t - \bar{t}) + \kappa_2(\text{EHB}_{it} - \text{EHB}_t) \quad (4)$$

and interpret:

- $1 - \kappa_0$: Average amount of risk sharing (over time and countries!)
- $1 - \kappa_0 - \kappa_1(t - \bar{t}) - \kappa_2(\text{EHB}_{it} - \text{EHB}_t)$ [**Main coefficient of interest, expected to be negative**]: Amount of risk sharing for country i at time t with equity home bias EHB_{it} .

The authors consider several robustness checks/ different specifications:

- Baseline methodology ✓ Replication!
- Above methodology with Consumption instead of GNI ✓ Replication!

- Above methodology with either consumption or GNI and using foreign asset shares instead of equity home bias (TBD) Replication!
- Above methodology with either consumption or GNI and using liabilities/ Debt Home Bias / ...
× only if time permits

3 Questions

- Negative Market Capitalisation for some countries
- How to construct PPP adjusted GNI/ GDP/ consumption?

4 Extensions

- Eurozone Home Bias (Eurozone available on EWN database)
- US baseline risk sharing regression?
- Robustness checks with different construction of Home Bias (need to look at paper in more detail)

5 Proposal for next week

- Finish replication tables and figures
- Start working on extensions (Eurozone Home Bias, US baseline regression, robustness checks) and present/ discuss